

Real Options Lens

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Small bets that buy future flexibility

PROFESSIONAL DEFINITION

The Real Options Lens treats strategic investments as options — small commitments that buy the right, but not the obligation, to invest further — valuing flexibility under uncertainty.

WHO DEVELOPED IT

Adapted from financial-options theory to strategy by scholars including Timothy Luehrman and the real-options literature.

WHY IT WAS DEVELOPED

It was developed to value managerial flexibility, which traditional discounted-cash-flow analysis undervalues in uncertain settings.

FIGURE 1 · REAL OPTIONS LENS



Figure 1. A schematic of the Real Options Lens as applied in BARBM312 (illustrative).

HOW IT IS USED

Initiatives are structured as staged options; small bets preserve the right to scale, abandon or pivot as uncertainty resolves.

WHEN IT IS USED

When investing under high uncertainty, including AI bets with unclear payoffs.

BY WHOM IT IS USED

Strategy, finance and innovation leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It values the flexibility to wait, expand or abandon — a natural fit for sequencing uncertain AI investments.

RELATED FRAMEWORKS IN THIS COURSE

OODA Loop (Enterprise) · Slibrary 17

Cynefin Framework · Slibrary 17

Agile Operating Model · Slibrary 17

Sense-Respond Loop · Slibrary 17

SOURCES (HARVARD REFERENCING STYLE)

Luehrman, T.A. (1998) 'Strategy as a portfolio of real options', Harvard Business Review, 76(5).

Dixit, A.K. and Pindyck, R.S. (1994) Investment Under Uncertainty. Princeton: PUP.